AeroVironment (AVAV): Sell

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A record $1.5B backlog cannot hide a restatement, a cancelled flagship program, and negative free cash flow. We see $84.26 fair value, 31.6% below the $123.26 spot.

Sell	$84.26	$123.26	-31.6%
RATING	BASE TARGET (BLENDED $89.62)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

Price targets are dynamic and adjust with live Treasury yields, the equity risk premium, and beta. The valuation website always reflects the most current targets.

$27.82 / $162.16	10.38%	$480.5M	$1.5B	$3.02-3.34	$683M
BEAR / BULL TARGETS	LIVE WACC	Q1 FY27 REVENUE (+6%)	FUNDED BACKLOG (+37%)	FY27 ADJ EPS GUIDE	Q1 BOOKINGS (1.4X)

Executive summary

We rate AeroVironment **Sell** with a $84.26 base-case target (blended $89.62), implying 31.6% downside from $123.26. This is not a call on an overvalued stock alone: the business is deteriorating at the same time. In the last two quarters the company restated Q3 results with an extra $89M goodwill impairment, disclosed a material weakness in internal controls, took a $151.3M impairment after a Space Force stop-work order on the SCAR/BADGER program, cut $1.49B from unfunded backlog, and guided FY2027 free cash flow negative on 12-14% capex intensity. Our framework reserves Sell for exactly this combination: overvalued AND fundamentally deteriorating.

The operating core is not without merit. Autonomous Systems grew 21% in Q1 FY2027 to $346M, bookings were $683M at a 1.4 book-to-bill, and funded backlog hit a record $1.5B, up 37% year over year. But the BlueHalo acquisition, closed months before the SCAR disaster, is straining the whole P&L: the legacy space and directed-energy unit (SCDE) fell 21% with negative $9M of EBITDA, Q2 GAAP gross margin collapsed to 22% from 39% a year earlier, year-to-date operating cash flow ran negative $168M as unbilled receivables spiked $220M, and adjusted EPS for FY2027 is guided flat at $3.02-3.34 versus $3.31 in FY2026. Record revenue means little when none of it converts to cash.

> **Our read:** the market pays $123.26 for a company whose forward earnings are flat, whose cash flow is negative, whose controls failed, and whose flagship acquired program was just cancelled. Even the Q1 beat (EPS of $0.59 versus $0.25 expected) came alongside negative $36M of free cash flow. We see 31.6% downside to our base case, and we would not buy this on any dip until the control remediation, cash conversion, and SCDE turnaround are proven.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY27-31)	8%	15%	22%
2031 revenue ($B)	3.2	4.4	5.9
Steady-state FCF margin	6%	12%	16%
Terminal growth	3.0%	3.0%	3.0%
Target per share	**$27.82**	**$84.26**	**$162.16**

WACC 10.38% live (spot 10Y ~5.2% + equity beta x implied ERP). Gordon terminal. FY2027 revenue midpoint $2.175B per reaffirmed guidance. FCF margins reflect heavy 12-14% capex intensity and negative guided FY2027 free cash flow; the base case assumes cash conversion normalizes over the forecast, not in year one.

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Bull case: $162.16 PRECISION-STRIKE RAMP

Autonomous Systems sustains high-teens growth on Switchblade and Titan momentum (Titan sales doubled in FY2026, a $117M P550 task order landed), the $1.5B funded backlog converts cleanly, and the BlueHalo integration delivers the Q4-style margin snapback (22% adjusted EBITDA margin) on a durable basis. FCF margins recover toward 16% as capex normalizes. Worth $162.16, still only 31% above spot. Note the bar here is high: it requires the integration to work exactly as pitched.

Bear case: $27.82 INTEGRATION FAILURE

The restatement proves controls are weaker than disclosed, more acquired programs follow SCAR into stop-work, SCDE keeps bleeding (down 21% with negative EBITDA in Q1), cash conversion never recovers, and the market re-rates a serial acquirer that cannot convert revenue to cash. Worth $27.82, 77% below spot.

Verdict

We rate AVAV Sell. Our framework reserves Sell for names where overvaluation meets fundamental deterioration, and AeroVironment is that textbook case: 31.6% downside to our base case on top of a restatement, a material weakness in internal controls, a $151.3M impairment on a cancelled flagship program months after the BlueHalo close, negative year-to-date operating cash flow of $168M, flat forward EPS, and FY2027 free cash flow guided negative. The core drone franchise has real momentum, but the acquisition has broken the quality of the business. We would turn constructive only below $76, where the base case finally offers a margin of safety, and only after control remediation and positive cash conversion are demonstrated.

What would change our mind

- **Control remediation:** a clean SOX opinion and no further restatements would remove the single biggest overhang.
- **Cash conversion:** two consecutive quarters of positive free cash flow and a declining unbilled-receivables balance would restore confidence in the revenue quality.
- **SCDE turnaround:** the acquired space and directed-energy unit growing again with positive EBITDA would validate the BlueHalo thesis.
- **Price:** a decline below $76 would put the base case in a favorable risk-reward zone.

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Q1 FY2027: bull vs bear

Bull read

Estimate beat. Record $480.5M revenue (+6%) beat the $456M consensus; adjusted EPS of $0.59 versus $0.25 expected, up 84% year over year.

Core strength. Autonomous Systems grew 21% to $346M; Switchblade and Titan franchises are winning real task orders.

Visibility. Record $1.5B funded backlog (+37%), $683M of bookings at a 1.4 book-to-bill; FY2027 guidance reaffirmed across revenue, EBITDA, and EPS.

Bear read

SCDE decline. The acquired segment fell 21% to $134.5M with negative $9M of adjusted EBITDA; LOCUST and directed energy are not commercializing on schedule.

Cash flow. Q1 free cash flow was negative $36M; FY2027 free cash flow is guided negative on 12-14% capex intensity.

Overhang. The quarter follows a Q3 restatement (extra $89M impairment) and a disclosed material weakness in internal controls, with flat forward EPS.

Key themes

1. The restatement broke trust DECELERATING

A $151.3M SCAR/BADGER impairment months after the BlueHalo close, an extra $89M added in restatement, and a material weakness in goodwill-impairment controls raise due-diligence questions that take years of clean reporting to unwind.

2. Precision-strike demand is genuinely strong ACCELERATING

Autonomous Systems up 21-25% for three straight quarters, Titan sales doubled in FY2026, and a $117M P550 task order under a $990M IDIQ. The core drone franchise is the one part of the story working.

3. Cash conversion is the real problem DECELERATING

Year-to-date operating cash flow of negative $168M, unbilled receivables up $220M in six months, and negative guided FY2027 free cash flow. Revenue without cash is just accounting.

4. Margin profile has reset lower DECELERATING

Q2 GAAP gross margin of 22% versus 39% a year earlier and a 27% adjusted gross margin on service mix. The BlueHalo mix is structurally less profitable than legacy AeroVironment.

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Other KPIs

METRIC	VALUE
Q1 FY2027 revenue / YoY	$480.5M / +6%
Q1 adjusted EPS / estimate	$0.59 / $0.25
Autonomous Systems revenue / YoY	$346M / +21%
SCDE revenue / YoY	$134.5M / -21%
Funded backlog	$1.5B (+37% YoY)
Q1 bookings / book-to-bill	$683M / 1.4x
YTD operating cash flow	-$168M
Q1 free cash flow	-$36M
FY2027 adjusted EPS guide	$3.02-3.34 (flat vs FY2026)
FY2027 capex intensity	12-14% of revenue

Guidance

Management reaffirmed FY2027 guidance on the Q1 print: revenue $2.125-2.225B, adjusted EBITDA $305-325M, and adjusted EPS $3.02-3.34, roughly flat versus $3.31 in FY2026. Free cash flow is guided negative on heavy capex. The flat EPS guide on 10% revenue growth tells you everything about where the margin and interest burden sit.

Watch items

- **SOX remediation:** any further restatements or auditor findings would be terminal for the multiple.
- **Unbilled receivables:** the $220M spike must start converting to cash; watch quarterly cash flow, not just revenue.
- **SCDE pipeline:** LOCUST and directed-energy award flow will decide whether BlueHalo was a bad quarter or a bad deal.
- **Defense budget timing:** continuing resolutions and program-level stop-works (like SCAR) are the structural risk to the backlog.
- **Share count:** the BlueHalo deal diluted holders roughly 74%; further equity-funded M&A would compound the damage.

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Reverse DCF: what the market is pricing in

At $123.26, AVAV carries our blended target of $89.62 well below spot and a base case of $84.26, 31.6% below the price. The spot price sits between our base and bull cases, implying roughly **17-18% annual revenue growth** for five years at a 12% FCF margin, with no allowance for the control failures or cash-conversion problems on display.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~18%	$123.26 (spot)
Bull case	22%	**$162.16**
Base case	15%	**$84.26**
Bear case	8%	**$27.82**

The market is pricing near-bull-case growth on a company that just restated, disclosed a material weakness, guided free cash flow negative, and cut $1.49B from unfunded backlog. Even the bull case assumes the BlueHalo integration works exactly as pitched. There is no margin of safety at $123.26.

Risks to our Sell

- **Clean remediation:** a resolved SOX opinion plus two clean cash-positive quarters would force a re-rate of the risk premium.
- **Defense super-cycle:** a step change in U.S. and allied drone procurement could outrun even our bull case.
- **SCDE breakthrough:** a large LOCUST or directed-energy award would validate the BlueHalo thesis and repair the narrative.
- **Takeover:** a strategic buyer could pay a premium for the drone franchise alone.

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